

production and lower interest rates takes care of inflation and deficit worries. As for the banks, what could be better for them than to have the world's capitalist countries, helped by lower oil prices, producing *real wealth*, some of which has to be deposited in banks?

From the time of its acceleration in 1982, Cycle wave V has been one exciting wave. It has spanned a time that people will look back upon with much fondness, similarly to the way they do the 1950s and early 1960s. The reason is that it encompassed a powerful bull market in social mood, which has had enjoyable *consequences*.

If extramarket conditions are the effect of social mood change, not the cause, then what conditions should we be seeing today, after years of a positive mood? One consequence is strong corporate earnings, and indeed the latest reports have been exceptional. Earnings have come through so strongly that it has become a common adage today that "The stock market is shifting from being interest rate driven to being driven by better corporate earnings." One article accurately describes this certainty as being "recognized by practically everyone." Even some technicians have been uttering it. Yet this classically conventional expectation is a nugget of nonsense. Earnings are the result of the human energy reflected by a bull market, which is why they lag stock price trends by as much as a year. Earnings do not "drive" stocks; the energy reflected by stock trends drives earnings.

What about the social consequences? Look around and witness how the results of this upswing in mood have become manifest. In only the past six years, in moves previously unimaginable, the forty year long Cold War has been pronounced officially over, the USSR has freed Eastern Europe, creating what *The Wall Street Journal* called "a period of euphoria unequalled in the postwar era," China is on the long term road to adopting capitalism and freedom, U.S. political leaders are promising a balanced Federal budget by constitutional amendment, and the U.S. has been basking in the afterglow of winning its first war in 46 years. In just the past year and a half, even more happy events, most previously considered impossible, have occurred: The Prime Minister of Israel and the Chairman of the Palestine Liberation Organization, enemies (symbolically speaking) for millennia, executed a historic peacekeeping handshake for the press; the South African government ended apartheid, three and a half centuries after the Dutch arrival in South Africa and 45 years